

4.2.6 The international economy

4.2.6.1 Globalisation

Content	Additional information
• The causes of globalisation. • The main characteristics of globalisation. • The consequences of globalisation for less-developed and for more-developed countries. • The role of multinational corporations in globalisation.	

4.2.6.2 Trade

Content	Additional information
• The model of comparative advantage. • The distinction between comparative and absolute advantage. • The model shows that specialisation and trade can increase total output. • Other economic benefits of trade, such as the ability to exploit economies of scale and increased competition. • The costs of international trade. • The reasons for changes in the pattern of trade between the UK and the rest of the world. • The nature of protectionist policies, such as: tariffs, quotas and export subsidies. • The causes and consequences of countries adopting protectionist policies. • The main features of a customs union. • The main characteristics of the Single European Market (SEM). • The role of the World Trade Organisation (WTO).	Students should be able to use a simple numerical example to illustrate the principle of comparative advantage and the associated benefits of trade. Students should be able to use a diagram to illustrate the effects of imposing a tariff on imports.

4.2.6.3 The balance of payments

Content	Additional information
• The difference between the current, capital and financial accounts on the balance of payments. • The current account comprises trade in goods, trade in services, primary income and secondary income. • The meaning of a deficit and a surplus on the current account. • The factors that influence a country's current account balance such as productivity, inflation and the exchange rate. • The consequences of investment flows between countries. • The policies that might be used to correct a balance of payments deficit or surplus. • Expenditure-switching and expenditure-reducing policies. • The effect policies used to correct a deficit or surplus may have upon other macroeconomic policy objectives. • The significance of deficits and surpluses for an individual economy. • The implications for the global economy of a major economy or economies with imbalances deciding to take corrective action.	Students should have a detailed knowledge of the structure of the current account of the balance of payments but only need a general appreciation of the other sections of the balance of payments account. Students should appreciate the difference between foreign direct investment (FDI) and portfolio investment.

4.2.6.4 Exchange rate systems

Content	Additional information
• How exchange rates are determined in freely floating exchange rate systems. • How governments can intervene to influence the exchange rate. • The advantages and disadvantages of fixed and floating exchange rate systems. • Advantages and disadvantages for a country of joining a currency union, eg the eurozone.	

4.2.6.5 Economic growth and development

Content	Additional information
• The difference between growth and development. • The main characteristics of less-developed economies. • The main indicators of development, including the Human Development Index (HDI). • Factors that affect growth and development, such as: investment, education and training. • Barriers to growth and development, such as: corruption, institutional factors, poor infrastructure, inadequate human capital, lack of property rights. • Policies that might be adopted to promote economic growth and development. • The role of aid and trade in promoting growth and development.	Students should appreciate the links between this and other parts of the specification, such as: globalisation, trade, the determinants of economic growth and inequality. Students should be able to compare market-based strategies and interventionist strategies for promoting growth and development.